

[Figure 18.2](#) shows an example. The bottom of cloudbank D is at 28.64 and the stock bottoms at 15.42 (E), for a drop of 46%. That exceeds the 40% minimum drop for cloudbanks. If you were to wait for price to close above a 4-month simple moving average, you'd have bought into the stock at 21.26 the following month (first open in October). Ride the stock back up to the cloud, and you'd make almost 35%. That's not bad, but it pales to buying in at 12.73 (two price bars after G) and riding it back up to 28.64, for a gain of 125%. Of course, the G entry requires perfect timing, so don't be fooled. Finding the entry isn't easy.

[Figure 18.3](#) shows a cloudbank nightmare unfolding. During July 2009, the company reverse-split their stock, combining twenty shares in return for one. That's why the price on the right of the chart is so high. At B, the stock bottomed and I show an inset of the price bars.

Not shown, but a 4-month simple moving average would have triggered a buy at the close of bar A. If you bought at the open the following month, you would have received a fill somewhere near 27.60. Two months later, you'd be staring at price hitting a low of 8.22 (C), for a potential loss of 70%. Wow.

The stock recovered and has climbed to a high of about 67.50. That's a nice return of 145%, but it's a far cry from the bottom of the cloudbank (998.20) for a potential gain of 352%.

It's been a decade and price hasn't climbed close to the cloudbank.